

SC 6125

Blockchain in Finance

Past Year Quiz Questions

This should just serve as a reference.

Please note that the format of the previous quiz is different.

The topics covered are also different.

1. Multiple Choice: Which of the following is false?

Question	Which of the following is false?
Answer	 1. Real estate can only be tokenized via debt 2. Debt tokenization can give SMEs more access to funding 3. Investors can diversify their portfolios with fractionalized securities 4. Defi protocols can make the trading of tokenized securities cheaper and more efficient

☐ 2. Multiple Choice: Which of the following is the most ac...

Question	Which of the following is the most accurate definition of Web3?
Answer	 1. Empowering end users through control of data and identity 2. Enable sharing and linking of data across the internet 3. Access to information and content 4. Collaboration and the exchange of data and information

☐ 3. Multiple Choice: Which of the following are decentrali...

Question

Which of the following are decentralized stablecoins?

- i. Reserve Fund Stablecoins
- ii. Stablecoins exogenously collateralized by ETH
- iii. Stablecoins based on derivatives of external assets
- iv. Money Market Fund Stablecoins
- v. Algorithmically issued stablecoins

Answer

1.

ii, iii, iv

2.

i,ii,iii

 3.

ii,iii,v

4.

All of the above

☐ 4. Multiple Choice: Online Mutal Aid

Question	Online Mutal Aid
Answer	 1. develops a sense of community among participants 2. is started in Kenya in 2011 3. requires underwriting to assess the risk of participants 4. relies on a pool of funding that pays out to claimants

☐ 5. Multiple Choice: Which is not a NFT business model des...

Question

Which is not a NFT business model described in lecture?

Answer

An artist minting NFT to sell digital art

.....

A sports team selling tokens to fans

.....

NFTs representing virtual items in computer games



A shopping mall issuing loyalty points as NFTs

☐ 6. Multiple Choice: Which is not part of Ravi Menon's 2021...

Question

Which is not part of Ravi Menon's 2021 speech?

Answer

Cryptocurrencies need to be more stable in value to be considered currency

☒ Project Dunbar is a multicurrency cross border payment project using retail CBDCs.

DeFi has potential to yield economic and social benefits.

Project greenprint serves as a marketplace to connect green technology providers with investors and corporates

□ 7. Multiple Choice: Which of the following is a feature o... ▼

Question

Which of the following is a feature of Constant Function Market Maker decentralized exchanges?

Answer



1.

There may be an accumulation of funds when the liquidity pool price does not match the market

2.

There is no way to profit from arbitrage between exchanges

3.

There are dependencies on external price feeds

4.

Liquidity providers connect to advertise prices

☐ 8. Multiple Choice: How is purpose bound money different ...

Question

How is purpose bound money different from programmable money?

Answer



1.

It utilizes a wrapper instead of directly programming logic as part of the token

2.

It is used for a specific purpose

3.

Smart contracts are used to create it

4.

Has logic programmed as part of the token

❑ 9. Multiple Choice: How are Bank Deposit Tokens different... ▼

Question	How are Bank Deposit Tokens different from Stablecoins?
Answer	1. They represent a fiat currency's value ✓ 2. They are subject to current banking regulations 3. They have a backing mechanism to ensure the value 4. They are issued on blockchain or DLT technology

☐ 10. Multiple Choice: Which is not a token function defined...

Question	Which is not a token function defined by CMTA?
Answer	1. Create new tokens 2. Prevent certain tokens from being transferred 3. Destroy tokens  4. Issue unique tokens to represent different assets under the same asset class

☐ **11. Essay: Provide 2 examples of Bank use cases ...**

Question

Provide 2 examples of Bank use cases discussed in Lecture 4. For each example state the following:

1. The bank(s) and companie(s) involved
2. The use case (include what are the assets being digitized)
3. Discuss a potential benefit of the use case
4. Discuss one potential problem that the project will face when moving to commercialization

Answer

☐ 12. Essay: Name three types of decentralized exc...

Question

Name three types of decentralized exchanges. For each type, explain how a pair of tokens are exchanged between 2 parties (in point form).

Answer